Subnet Magazine Interviews Stillcore Capital's Mark Jeffrey

Subnet Magazine: Today's guest is @MarkJeffrey — an award-winning serial entrepreneur, author, and early pioneer in blockchain and innovation.

Mark has co-founded five internet companies, raising capital from investors like @SoftBank and @Intel, and successfully exiting ventures like The Palace and ZeroDegrees.

He served as the founding CTO of Mahalo, working alongside @Uber's @TravisK and @theallinpod host @Jason Calacanis, with backing from @ElonMusk, @Sequoia Capital, and others. A blockchain advocate from the beginning, Mark published "Bitcoin Explained Simply" in 2013 and "The Case for Bitcoin" in 2015.

As a storyteller, Mark has authored seven fiction books, including MAX QUICK: The Pocket and the Pendant, published by HarperCollins. He was one of the first-ever authors to podcast a novel, earning over 2.5 million downloads in 2005. He is also the host of Hash Rate, a show exploring @Bitcoin, AI, DePIN, DeFi, and next-gen crypto protocols including most recently, almost exclusively, @Bittensor.

Most recently, Mark announced the launch of @StillcoreCap a new fund focused on Bittensor, $TAO, and subnet alpha tokens — alongside partners @Jason Calacanis and @rob_svrn.

SM: So, you've been an early adopter of major technology shifts — from Bitcoin in 2013 to now decentralized AI. What drew you into @Bittensor specifically?

MJ: I've been in crypto since. 2013, basically, is when I first noticed

Bitcoin. And then I was in the @Ethereum ICO phase as well as the DeFi phase, so I lived through and participated in all of that. And then there came a period where not much was happening in crypto.

I did a lot of digging around. I did a lot of reading, mostly a lot of @MessariCrypto reports, as well as some of the other firms as well. I just was inhaling everything I could, trying to figure out where all of this was going next.

There was another factor at play, we had the Biden administration, Gary Gensler, Elizabeth Warren kind of trying to kill crypto. So my thesis was, "they'll probably be gone by the next election cycle, and we'll probably have something which is much more crypto-friendly. So let's just assume that and do the research now and figure out what's going to do well in a new environment".

I came across something that Sami Kassab (@Old_Samster) had written for Messari on Bittensor, and the more I read through that, and the more people I talked to, I started gaining the same conviction that I had previously gained in Bitcoin in 2013 and Ethereum by 2016 or so.

I felt this was the third great coin and the third great ecosystem that was going to erupt in the cryptosphere.

SM: Looking back at your career, what patterns do you see in the kinds of technologies you've been drawn to early?

MJ: It's always sort of the next big thing in some way. I'm sort of Forrest Gump. I don't always directly benefit from it, but I'm always there. So a great example would be with The Palace, I was there for the early internet, '95 through 2000. That's about as early as you can get, alongside companies like Mosaic and Netscape.

The Palace was a huge phenomenon. It had 10 million users at its peak, but we couldn't monetize it, so I didn't become a quadrillionaire off of that. But it was incredibly popular. I mean, 10 million users in 98 was like, it was like half the internet. It was insanely popular for its time.

Then in 2002, I founded a business social network, which I eventually sold to Barry Diller in February of 2004, which is the same month that Facebook was founded. So I was two years earlier with a LinkedIn competitor, and we had about a million users when LinkedIn had two million, so we were behind, but not by much. We still could have caught them. We handed off that lead to IAC, and IAC did, you know, whatever they did, and did not, unfortunately, follow up on that as hard as they could have.

But again, I correctly called the internet, then I correctly called the arrival of social networks before most people. So the pattern has been that I usually get there first.

And so I feel like I've done that again now with Bittensor, and it's still early enough. So now that I have made some money and now that I want to force-multiply the money I have by raising a fund, I feel like I'm in the best position I've ever been for one of these new trends.

SM: Why did you decide to launch a dedicated Bittensor 506(c) hedge fund?

MJ: I've been playing around with the idea of doing a hedge fund for maybe four or five years, I just never pulled the trigger on it. And there are multiple reasons for that.

One is that I don't come out of that world. I'm a startup guy. I raised money from venture capitalists, been around startups. That whole thing I know very well. Having the duty of care of running a crypto hedge fund, the custody side of it, the reporting side of it, the SEC side of it, and knowing who to raise from in that world. Versus the VC World, I know who I'd raise from that world on Sand Hill Road. The hedge fund people, that's a different sort of class of person. And a different set of requirements and a different sort of legalese.

So I wanted a partner who had done that before, and the other people who had approached me in the past about doing it didn't really bring anything to the table that I didn't already have. They were another me. I wanted one plus one equals three. I didn't want one plus one equals 0.5, not insulting these other people. They just weren't the people I needed.

So finally, the right people came along and it was @rob_svrn and, and a CFO that he brought with him. And then together, we approached @Jason Calicanis about investing, and that quickly turned into a conversation about becoming a partner. That conversation went better than we could have guessed. So that's how we ended up here.

SM: Your other partners, Jason Calacanis and Rob Greer. What makes them unique to what you're doing at @StillcoreCap, what do each of them bring to the Fund?

MJ: Rob comes out of banking. And he's an entrepreneurial soul, but he really knows he knows this side. This is the third time he's done a fund, so he knows that side of it extremely well, getting the infrastructure up and running, and he has a giant network of investors that are the hedge-fund-type of investor.

So he looked at me and said, well, Mark Jeffrey, you're pretty well known on X, specifically in the @Bittensor universe at the moment. So, you're a great face. And I've been investing successfully in subnets for the last six or seven months, and I can prove that. I had a great track record, so much as anybody has a track record in Bittensor right now.

And then, of course, @Jason Calcanis is one of the hosts of @theallinpod and famously one of the first investors in @Uber. He brings a sort of "gentrification" to the world of crypto.

He's famously not been a big crypto fan. But when I explained Bittensor to him, he quickly saw that, "oh, this is not like a meme coin". This is not like some jokey thing. It does share characteristics with Bitcoin, and it does share characteristics with the best of Ethereum.

Because, Ethereum, although it produced a lot of garbage and a lot of bad ICO's, it also produced DeFi. It produced stable coins. It produced lending like @AAVE, it produced decentralized exchanges like @Uniswap. There was some very key core infrastructure, pieces there and companies that are every bit as important as @Google or @Tesla, just within the framework of cryptocurrency and how money contraptions can work and how we can decentralize.

We don't need organizations to be banks, we don't need organizations to be exchanges. Those things can be smart contracts, and we're just now getting started with those kinds of things.

So he recognized that Bittensor shared a lot of the characteristics with those things that had come into crypto in the past.

Combined with the fact that his friend @DavidSacks is now America's Crypto and AI Czar. So now crypto is legal. The framework is well understood and the rules of the road are well understood. Before we had very conflicting information with what the rules of the road were and the SEC was just shoving people into vans randomly. We didn't know. The people didn't know why they were getting Wells notices and people wouldn't tell them.

So the rules were very unclear. Now the rules are very clear and the environment is very friendly. So that's emboldened @Jason. He's like, somebody's going to win big in this sector again. There's going to be another Ethereum.

And as I explained Bittensor, I wouldn't describe @Jason as a true believer. I've become a true believer, but he is a true suspector. And in the game of venture capital, you are making decisions based on partial information. So a lot of times the best you could be is a true suspector.

When he invested in Uber, it was just @TravisK. We both knew him from Scour and previous ventures. We knew he was a good entrepreneur. We didn't know he was a great one yet. We just knew he was good. But Jason invested on partial information, and that turned out to have been very smart. So from his point of view, that's what he's doing again.

SM: In the @StillcoreCap informational packet, you outline a three-pillar strategy,

1. ***TAO reserve***
2. ***Subnet investing***
3. ***Subnet creation***

First with TAO reserve, what is your plan for your TAO Reserve? How do you plan on handling custody? Where are you going to stake them? Proof of reserves?

MJ: I can tell you what we've announced and what I know, as some of this is still under discussion.

We're going to use multiple vendors. I can tell you one of them right now is @BitGo for the custody. We're debating whether we're going to do our own validator. We may end up doing that. And so we'll stake that with ourselves as well as any alpha tokens that we hold. We haven't made any announcements on that yet. We're still talking to some people about how we might do that.

There are some other people who've approached us about using their validator, and that's on the table as well. We haven't announced this, but I'll just talk about it now. For the time being, we're talking with @YumaGroup because that's @BarrySilbert's validator. And we know that that's trustworthy and we feel pretty good about that.

We want to make sure we have a duty of care with customer funds, obviously, so we want to make the most conservative choice possible. Sometimes, not always, but with this, we do, with the validator selection. We'll stake the TAO and get yield off of that, staking in root.

It's institutional grade custody. We will have multiple vendors. @BitGo is the first one. I know that's where we're storing it right now.

So we will invest in subnets. And again, we want to be somewhat aggressive, but also with the duty of care in mind.

The way I would play with my own stack is different from how I'll play with @StillcoreCap's.

So we'll start off with something like, and these won't be exact amounts, but something like 20% in subnets, looking at the top 10 or top 20 at the very most, kind of the "blue chips".

Who are those? Well, I mean, you can probably guess @Ridges_ai would be one of those. And of course, we'll know the teams. We'll know for sure, it won't be anonymous teams that we're investing in. We'll do due diligence on them.

In many cases, we will do OTC deals and get discounts. So we'll be looking for the best deal for our fund participants.

I do want to scale, ultimately, I'd like to be at 50-50, but I don't feel like it's safe enough yet. I want to see what's going to happen with the halving.

I think there are two things at play right now. The halving is coming up. If you've been following my X feed, I've been talking a lot, trying to figure out: What does this do to subnets? Is it in fact dangerous to invest in subnets post-halving? Will it tend to crush the price of sub tokens?

I'm not going to go through all the reasoning here, but after several days of digging into this and talking to a lot of other fund managers, as well as the people inside of Bittensor who designed these mechanisms.

@mcjkula, he's one of the guys that knows all the ins and outs and knows the links, too. Because if you ask AI, AI will give you the wrong answer because old designs are still in the AI head. Whereas @mcjkula knows the latest designs. So where I've come out is that actually, it's fine to invest in subnets. The halving will not crush them. But nobody knows for sure. Nobody's done a mechanism like this ever, with this specific design. So on paper it looks like nothing bad will happen. We don't know for sure what the unintended consequences will be. This is still a highly dynamic situation. I'm still digging into it. But right now, that's what I think is going on.

SM: And I think of the narrative too, of like what people are going to do, you can't control people's behaviour en masse. So you don't know what people are going to do ahead of the halving.

MJ: What I will say is that the release of dTAO went pretty much exactly as described to us. And stunningly, there were zero bugs. Like, there were no bugs. Not that I saw, not that any of us saw. It might have been minor things under the hood. But I was using @mogmachine's @TAOstats site to monitor everything in detail. Everything worked flawlessly. Which is amazing for a release of that magnitude. So I think the happening is quite a bit less of a giant leap forward than that.

It's the same people who are involved in the design, so I think it'll probably go as flawlessly. They've shown once that they can handle something incredibly complex. So it will probably happen the way they describe it.

SM: In @StillcoreCap's intro slide deck and your fund's informational packet, you mention "we map every subnet & founder" . What does that look like? And is it different from what you're doing right now?

MJ: No, it's pretty much what I'm doing right now. Some subnet founders are anonymous, so, obviously, that dark matter, nobody knows. But at this point, I talked to pretty much most subnet owners at this point, like 80% of them. I've met them, I know them.

I've looked at the subnet, I read up on it. SubnetAlpha.ai is a great site. Sometimes some of the subnet's aren't up to date on there, but not for long. They do keep that up pretty well. That's a great source of information for anyone who's curious.

I want to talk to people. And I want to quiz the founders and I want to use the thing. I want to go into the Discord for the subnet. Are the miners happy? Are the miners complaining? Does it look like a revolt's about to happen? Like, what's going on? So we're going to get to know that every nook and cranny of every one of these things.

And I spend my life on this. This is what I do. That's what Hash Rate's all about.

SM: What kinds of subnets would you be interested in building or funding? What do you see a need for in the space?

MJ: That's in there because we want to leave that open as a possibility. We don't actually have ideas at the moment for what we would do. But I do think if we come across a great idea that did come along and somebody said, “Hey, listen, @StillcoreCap, you've got a big stack of TAO. We'd like you to help us found a subnet and in return, you'll get a giant amount of alpha”, a deal like that.

If we believed in it enough and we thought it was in the interest of @StillcoreCap investors for us to take that leap forward, we just wanted to leave that space open so that possibility existed.

So I think there are a number of these things, which are a good idea to do. I think running our own validator is a conservative good idea to do. but we'd want a partner with somebody who's a professional validator runner. Because it's not our core competency.

But here's what I want to avoid, because the danger in doing stuff like this is that we end up like Genesis. @Grayscale Trust, which is run by @BarrySilbert, highly successful, multi-billion dollar thing, founded a company called Genesis. Genesis ran the yield generation for @Gemini. So @Gemini had Gemini Earn. Gemini, you stake your Bitcoin. And what Gemini did was they just gave your Bitcoin to Genesis. Genesis then loaned it out to all these other companies, like 3 Arrows Capital. Some of it, I think it was in FTX.

And basically when that whole like FTX thing happened, with 3 Arrows Capital, it killed Genesis, and then Genesis owed billions. It was almost a billion dollars, to Gemini and almost made Gemini insolvent because there was this rehypothecation of funds. So the last thing I want to do with @StillcoreCap funds is rehypothecate it into other things. I want to make sure that stuff is under our full control at all times. I don't want to give it to another subnet if they're going to lose it.

So I'd be very careful with that. I think the duty of care, the "do no harm" thing, has got to be our highest guiding principle, because so many people have screwed that up in crypto already.

I feel that deep in my soul. I feel that duty of care. And I've seen the warnings and I've seen it go oh, so horribly wrong before us.

SM: I remember the open letters between the Winkle Voss twins...

MJ: The Winklevi were not happy. There was a lot of bad blood there. If you notice, Gemini does not list TAO. And I don't know if that's related to the fact that it's, you know, a "Barry" coin. But my guess is that that's basically what's going on.

SM: There's a very famous saying in web3, "Not your keys, not your crypto", and in the last cycle, with the FTX collapse, and hedge funds like Alameda Research, 3 Arrows Capital, these hedge funds caused a lot of damage in the market, a lot of people lost a lot of money, and a lot of confidence. Though I do note that we do have a more pro-crypto Administration with @DavidSacks at the helm. What would you say to an accredited investor. what is the benefit or potential edge of putting their money in a hedge fund versus just holding $TAO or experimenting with staking on their own?

MJ: I think the biggest thing I can tell you is that we will play the subnets aggressively. And again, I'm being a little careful about it, but I don't want to play too aggressively and then something absolutely horrible happens at the halving.

I feel like we're in this year-long ICO with subnets, with the liquidity pools filling up, which is depressing prices unnaturally. That'll end in like February, and then I think we'll start seeing something because that'll be the one year anniversary of the dTAO launch. I think after that we'll start seeing true price discovery on these things.

If TAO 10x's, we do our job right, then @StillcoreCap will 15x. I don't think it's possible to do better than that, but I think we should be able to do that. We might get lucky and be able to do better, but that's what I'm targeting right now.

But to do that, the subnets and the @Bittensor universe is highly complex, and it's highly dynamic. And it's a full-time job for several people to keep up with everything going on, as well as to understand what's going on. So you can do that. But my guess is that most people will not want to do that. They'll want somebody else to do that for them, especially the sort of the institutional investors type.

The second thing I'd say is that, a lot of what I think I think a lot of people underestimate, just the form factor of this being in the traditional investor world. Like most of those people don't want to mess around with @Ledger wallets. They don't want to mess around with the custody. They don't want to worry about doing it themselves. It's actually very complex.

And I forget how complex it is. So I've helped a couple out recently. They're like, "I can't figure it out". I'm like, "I'll come over to your house and we'll sit down". And then you tell them to get a @Ledger wallet, then you get them to set up the @WeareTalisman wallet so it can work with the @Ledger. But it's super confusing.

And then you're like, okay, now we got to go to @TAOstats so that we can stake the TAO so we can get the alpha. And they look at their wallets like, “but I don't see the alpha tokens in my wallet”. It's like, well, it's there, but you can't see it. There's all these weird things, it's beyond most people.

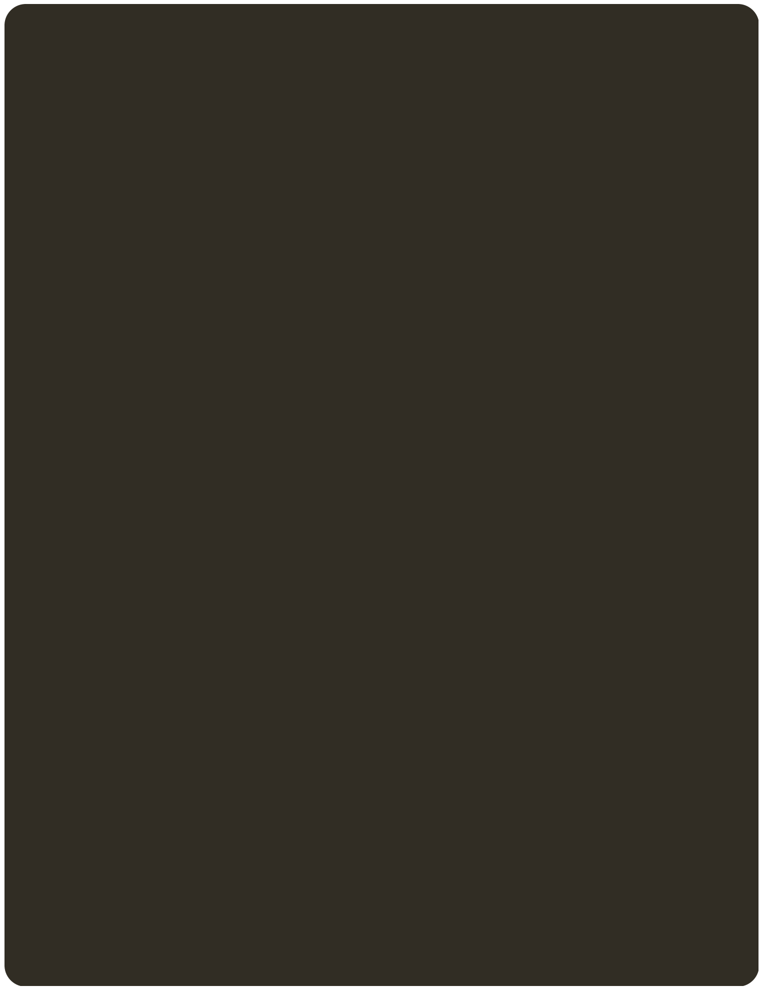
It's like, but that's the way Ethereum was back in the GETH Wallet days. Or Bitcoin was with a Sparrow wallet. Like, it's incredibly ganky and weird. And that's kind of where we're at in Bittensor Land right now. But this is also the moment when the greatest opportunities are.

I think we're going to look back like, "Oh, my God, remember back in 2025 when everything was around $10 million bucks?" I think we're going to look back on this time like we look back on Bitcoin where it was once 300 bucks or Ethereum was like 33 cents at ICL. At the magical time. I think we're in that magical time for Bittensor right now because of the complexity.

So being able to not to avoid that complexity, just put fiat money in, get fiat money out, there's a whole lot of people. It's like @MicroStrategy. Why do people even buy @MicroStrategy? Why don't they just buy Bitcoin? Like, it's actually pretty easy to do now, right? And yet a large number of people choose @MicroStrategy because of the form factor, that it fits the laws that they have to obey. They might have a fund which can only invest in other equities or other funds. I think there's a lot of people like that that want to get into Bittensor right now, and they just can't do it any other way. So they have to pick one of us.

SM: There has been a lot of concern in the ecosystem about subnet builders and engineers being taken advantage of by toxic venture firms, private investors, and hedge fund who get them into extractive contracts that hurt their and the ecosystem's long and short term growth.

I’ll quote a post on Discord by @Bittensor co-founder Jacob Steeves (@const_reborn):



What do you think about this and how is your fund different?

MJ: I know exactly what you're talking about, and I know who's being referenced there. I'm not going to bring up the name. I think you probably know it too. There is a perception.

Well, there is a firm. I'm not going to say their name, but there is a firm out there. who is commanding very large percentages of subnets in return for initial funding. Reportedly. Now, I don't know if this is true or not, but I have heard it several times. So my guess is some version of this is true.

My view on that is that the subnets are free to accept that deal or not. And nobody forced them into those deals. So you're a grown up, make your own decisions. And if you're okay with that deal, then you should make it. And, some people view the edge that they get from that large @ycombinator-like entity as being worth it. I don't know whether it is or not. I don't have an opinion on it other than, I don't think it's necessarily evil. I think it's an option, and nobody has to take it. I know people that have refused the deal.

I can tell you right now, we don't intend to offer those sorts of deals and behave in the same manner if and when we start, you know, incubating subnets.

Those numbers are not the kind of numbers I would even want to do. So I don't think it would be right. I don't think it's good for the subnet, even though it would be better for me, I would be disinclined for @StillcoreCap to do it. But I don't think it's evil and I don't think we should say it shouldn't exist. I do think that this entity's overall presence in our space is incredibly beneficial. I'm very happy that they're here, and I think it should continue to be an option.

SM: We've been hearing this idea that @Bittensor's big draw, what sets it apart is its "incentive mechanism". Jacob Steeves (@const_reborn) in an interview, speaking about @Bittensor as an incentive mechanism, said ML is just what Bittensor is working on right now. Something you mentioned in your interview with @VenturaLabs, with the case of @Bitcast_network, utilizing @Bittensor for solely its incentive mechanism with a little AI thrown in at the end. Do you see this happening more and more? Where do you see Bittensor going outside of AI? What other use cases like this can you see in the future?

MJ: I do think it's Bittensor's ultimate purpose in life. Like if we're looking at it five years from now, I think it'll be like two-thirds other stuff. And maybe a third AI. That's my guess. Because really when you boil away everything else, what is Bintensor, really? Is it an AI thing? Not really. It's used a lot for AI, but it's not inherently necessarily AI. It is an incentivization alignment engine.

And it's the best in the world at that. It just happens to be incredibly good for mining intelligence for AI. AI is hot right now, like the only venture companies are getting backed right now are AI.

Bittensor happens to be playing in that space. I've been very surprised by this. Because when I first got to Bittensor, I just thought of it as an AI thing. But it doesn't necessarily have to be applied to AI. @BitCast_network, the advertising network, it uses AI. So AI is part of what @BitCast_network does. AI checks to see whether the ads or the content is placed correctly in potentially thousands, maybe even tens of thousands of podcasts that would be incredibly hard and incredibly expensive to handcheck by humans. If you didn't have AI, you probably couldn't do that. So @BitCast_network was not AI, but it uses AI and it couldn't exist without AI. So is it AI sort of kind of, right? But it was advertising AI? Not really, right? So it'll be hybrid things like that.

I just had @Hippius_subnet on Hash Rate last week with @mogmachine. @Hippius_subnet is storage. It's Amazon S3 as a subnet. And as it turns out, mostly because of his "alphanomics" design, it's an incredibly good idea. He's basically offering storage for 1/400 to 1/4000 the cost.

Because of the way Bittensor works, the incentivization alignment engine, and it provides an ownership layer for those who are participating in the network. The token's in a very Bitcoin-like fashion.

I think more non-AI things, more sort of Web 2 things. Like what's AWS?

So it's like a Web 2 thing. So I think more of those things will start porting into the Bittensor environment. Some of them will be enhanced by AI, but a lot of them won't be. And I do think we'll end up at a two-thirds, not AI, one-third AI kind of mix in four to five years.

Any time a new subnet succeeds, TAO gets more and more valuable. Because the entire thing is very cleverly constructed and continuously pushes value from all subnets at all times into the TAO Token. If you hold TAO, you win if the subnets are winning. Or even if one subnet is a runaway freight train, if you're holding TAO, you still win. You win more if you hold the alpha token for that subset. Like, exponentially more. But if you just want to kick back and play the subnets, there's absolutely nothing wrong with just owning TAO.

People are like, well, why should I invest in @StillcoreCap? Why shouldn't I just buy TAO? If you're okay with that, just go buy some TAO on @Coinbase. There's nothing wrong with that. That's a simple way to play. If you want to go for the advanced course, come talk to me. If you're accredited. So that's the other thing. So a lot of people that aren't accredited, I'm like, "just go buy some TAO". That's a great way to play.

SM: Most of us in the ecosystem know you as the host of Hash Rate, of which we at @SubnetMagazine are big fans and longtime listeners as well.

Something I believe Hash Rate does well, is to respond to the overall inaccessibility issue, something we've written about at Subnet Magazine, where the barrier to understanding is really high for the average retail investor.

On a post earlier this week, a community member, @LouiseBeattie said something interesting, "If no one's adopting your subnet at scale, the issue might not be the code, it's the story you're telling."

Louise Beattie @LouiseBeattie · Sep 28, 2025
Want to win on Bittensor?

Stop building in silence. Your subnet won't grow just because it's technically sound, it grows when people ***get*** it.

That starts with marketing that hits home:

- **Know your real users**, not "AI enthusiasts," but who's actually using
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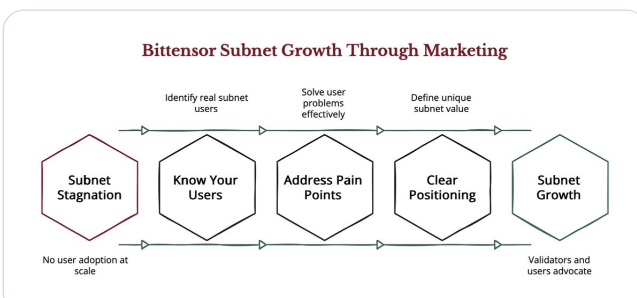

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As a storyteller yourself, what is a piece of advice you would give to subnet owners that are having a hard time explaining the deeply technical aspects of their projects and making it accessible to those that aren't familiar with AI?

MJ: Yeah, I know @LouiseBeattie. She's great. And she brings up something incredibly important. And it's another reason why I think we're already having a lot of success with people knocking on our door that want to invest with us at @StillcoreCap.

Partly because it's just so damn hard. It's way too complex to understand all this stuff, much less continuously keep up with the news.

And the highly dynamic environment of Bittensor. I think it serves Bittensor well, that complexity is what drives the incentive alignment. And I don't think there's really another way to do it other than the way it's being done right now.

Rockets are hard. You can't just make simple rockets, but it is what it is.

What you can do is on the front end with the products, you can make the product a lot easier. One great example of that is @Ridges_ai is making it so the AI people don't even have to know anything about crypto. You don't have to know anything about Bittensor. They can compete and just get fiat rewards. So they never get Bittensor alpha tokens. If they win the contest, boom, they get USDC pumped out. That's it. So that's one way. just abstract away the hard parts.

Cartha (@0x_Markets), which I interviewed, SN35, which is doing a perp DEX for foreign exchange.They only succeed if they get massive liquidity. So they said, we're just going to make it so you don't have to provide different coins to us, just give us USDC. We'll deal with all the rest. So they greatly simplified the way in which you could participate with their network and make yield and earn alpha tokens. I'm not sure how they give you alpha tokens, but my guess is they probably just give you USDC there also. So just, on the front end, get rid of the complexity. There are ways to produce the front end to make it consumable by people who don't have to know about the complexity of Bittensor or what's going on under the hood, but to get the benefits of it. So I think a lot of people are being more and more clever about this.

SM: And I think @Ridges_ai is really doing a good job of explaining. Before there was a small percentage of us that knew what a SWE Benchmark was. They've been so great at bringing it to the forefront and explaining it out to people. It's something I would like to see from more subnets.

But I think the other issue is that especially when you go on X, which is where most of the communication happens, when that's super highly technical, and then I think, let me go to Discord and then I see even more technical stuff and then it's just miners, validators, and teams talking to one another. There should be like a third space for

people that are just semi-interested in AI that come into Bittensor and can kind of get it right away.

MJ: Yeah, no, agreed. And I think with the crypto side of it, for AI people, that kind of spooks them. So they're kind of “ooh, it's dirty crypto, dirty crypto people”, fairly or not.

But, I mean, again, just going back to how old I am, people used to view the internet the same way. The internet was pretty much known as the place for gambling and porn. That's like ‘95. That's how people thought of it. The serious people, they're on AOL, Compuserve. “Ooh, dirty internet. Stay away from that. That's the dark alley.” So I get it. But I've seen it before and I've seen that vibe go away with legit players. pretty quickly, actually. within the space for a year or two sometimes. So I think it'll happen here.

SM: A follow up question - to those retail investors looking to learn more about Bittensor and get their feet wet with the ecosystem and its subnets, what resources would you direct them to?

MJ: If you want to roll your own, not participating in the fund. It's still pretty hard. I think @backpropfinance is the easiest front door to use. @TAOstats is a better front door, but it's a lot harder to understand. It's sort of like a space shuttle cockpit. It's like using Lenux versus Windows. The Windows is Backprop.finance.

As far as TAO wallets go, they're all pretty hard to use. @WeareTalisman in @Ledger is probably the safest right now. But that's sort of hard to set up, as I was saying earlier. And I forget how hard it was until I just did it again for a friend recently. It's not hard for crypto, people. Like If you're a crypto person like that shouldn't scare you. But if you're not a crypto person, very difficult and confusing. But the easiest way is to just use the @Bittensor wallet that's provided on @Opentensor Foundation.

SM: I think, though, the only argument I have against that UX is that like when you try and unstake, it's really counterintuitive. Like, you have to go back to where you stake...

MJ: It's pretty hard. I should say. They did a great job for an early wallet, but it's definitely meant for crypto people. And if you know what you're looking at it, it's okay, but if you don't, it's not going to make much sense. Again, and I would just say the very easiest way to play this, if this sounds hard. There is no really super simple way to do it.

There is another option, and that is to use @_TAOFi_. The super easy way to play subnets, if you're just a mere mortal playing at home, if you know your way around @Coinbase’s BASE blockchain and you have a BASE wallet (Metamask) and you have either USDC, Tether, or Ethereum on BASE, you can go to taofi.io and on that site, you can buy subnets directly on base without having the mess wrong with TAO at all or anything like that. Now, the one caveat here is you are, in fact, buying real alpha subnet tokens on the Bittensor chain, which will mean that after you buy them, you'll be able to see them on the @_TAOFi_ site. You will not see them in your Metamask wallet. It is in there. But you will only be able to see that on the @_TAOFi_ site, but that is a way to buy subnets. So if you're like, “I just want to buy @Ridges_ai. I don't want to think about it”, if you can make your way over to BASE, that is how you do it. That's the easy way to do it.

SM: For the people that are not technical, going along the same theme of making Bittensor accessible, can you simplify what this new Bittensor upgrade means, what are subnet mechanisms (previously called subsubnets), and what do they mean for the ecosystem?

MJ: Subsubnets is not something I've dug into a lot. I know about them. I'm aware of them, obviously, but it's what it sounds like. It's a way for subnets to have subsubnets for other contests with different reward structures, within their overarching subnets.

You might want to bucket out what you're doing amongst your miners and have some of your miners concentrate on this contest, other miners concentrate over here.

I’ve not yet heard a great example of what the justification is for that. But I know that its something subnet owners have been consistently asking for. It's more important than I understand at the moment. It hasn't really popped up on my radar too much. Unfortunately, I'm not going to be able to comment too deeply on that one.

SM: I know we’re a few months away from the upcoming halving, and you’ve been sharing a lot of interesting insights on your X account ***into what you think will happen.***

Can you explain here for us what the halving is, what it means, what effects it will have on TAO and alpha tokens?

MJ: Coming up around December 11th, I believe, is when it's forecasted, is the Bittensor halving, the very first one that we've seen. Very much like the Bitcoin halvings, like when they started happening. Typically in the Bitcoin universe, when there was a halving, the effect on the Bitcoin coin is intended to 10x in value. And it did that, not right away, not like on the day, but, over the course of the next year. That was the effect that the halving had on the price.

We don't know if that'll happen here in Bintensor or not, but Bitensor does share the same tokenomics as Bitcoin. It's 21 million only, halvings occur every four years. The first one is coming up. We've never seen one before. But the thing that's weird and new and interesting is that we have subnets and we have alpha tokens, and there is an exchange, a @UniSwap-like mechanism that is baked directly into the Bittensor chain for the alpha subnet tokens. And so what happens when you have all these things interacting, we didn't have that complexity in Bitcoin. There wasn't even that kind of complexity in Ethereum. So we've never really seen what happens when all these mechanisms are at work and interacting with one another while there's a halving.

I've been talking a lot about it on X. Here's what I think I know, and here's what I think happens:

So the pools that are in the UniSwap-like thing, which is baked into the Bittensor chain, there is TAO and alpha tokens that are injected into that pool by the chain. The chain is just emitting them. And so at the halving, what happens is the amount of TAO being injected will be chopped in half, as well as the alpha token. That will be chopped in half also. So it'll be 2x, it'll shrink down to 1x on halving day. That's good, because you don't want just the TAO to be having because then the alpha is producing at the same rate, but you have half the TAO, that means the alpha will tend to devalue. That's not what's going to happen. So it's done the right way there.

However, the miners, owners, and validators, the amount of alpha that is being committed to them, their rewards for participating in the Bittensor ecosystem are not chopped in half. That's good, because it means what's subsidizing the network, the miners, all these people won't suddenly be starving. However, they will probably (we don't know as for sure) they will be selling into the newly halved liquidity pools at the same rate. That may tend to drive the alpha prices down.

However, again, remember Bitcoin, it 10x on average. So we can, I think, expect that the price of TAO, theoretically, should at least 2x. So that should offset all the effects of the thinner liquidity.

But then some people came back and said, that's true. However, if you're in subnet tokens, that would mean that, let's say you had a thousand TAO worth of alpha subnet tokens, after the halving, in TAO terms, even though you have the same dollar amount, in TAO terms, you will have 500 TAO - you'll have half the TAO. So you don't want to be at half the TAO. Maybe it would have been better then if you just stayed out of alpha tokens, right?

However, there's another dynamic at play here, and that is the “sum of subnets” and I apologize for the complexity here. There's no way to explain this more simply. The sum of subnets means that the chain itself will emit tokens and buy alpha tokens to make sure that the price of all subnet tokens always equals 1 TAO. There were earlier designs that defended “sum of subnets” price was 0.5 TAO after the halving. That design got thrown out. It is still 1 TAO, which means the chain will continue to produce TAO and buy alpha tokens to push everything back up to the equilibrium, which means you shouldn't lose half of your TAO, your alpha tokens should not lose half their value as denominated by the TAO.

There's so many pieces. You have to be neck deep in it. This is what we do. This is why @StillcoreCap. It's very hard for most people to get a handle on.

SM: And it takes a lot of work, which most people, I think, especially like people coming from like @Ethereum or @Solana. It's very accessible.

MJ: Yeah. It's weird compared to those environments, right? Because there is no UniSwap baked directly into the chain. There's no emissions into pools. There is no sum of subnets, like all these weird little what? What's that? It's new stuff.

SM: Just when you think you've gotten a handle on crypto in general, then Bittensor comes in.

MJ: Yeah. It's a completely different thing.

SM: Last question, what does the world look like in 5–10 years if Bittensor succeeds?

MJ: If Bittensor succeeds, in five to ten years, the bulk of AI will be served up out of Bittensor subnets. There's a large amount of other products, like advertising products. The largest advertiser network in the world is no longer, you know, Google or somebody like that. It's @Bitcast_network or some descendant of Bitcast. That'll be the bulk of every business. The bulk of storage, AWS will be quite a bit smaller because it'll be the centralized Bittensor driven, cloud computing, both for compute and for storage and everything else that at AWS does now. All of those services will be largely backed by Bittensor. It'll be the primary source of intelligence and cloud services and a whole bunch of other things. And the bulk of the internet, the bulk of capitalism on the internet will be coming out of Bittensor.

I truly do believe that Bittensor's key innovation reboots capitalism into this new thing, “incentivizism”, you know, where companies are atomized. There aren't any companies. There's just gig-work for processing, for all sorts of things, and you just go in here and you mine and you do gig-work and you make as much as you want, and you go home. And you do it whenever you want to do it. And only the best survive. And maybe you can't compete anymore, so you do gigwork on something else. But only the most excellent survive at all times. It is the most ferocious form of capitalism ever invented, but it's also the most open and free version of it. Where anywhere, anywhere on Earth can participate, it's equal, it's equal opportunity for all at all times. So it's the fairest and the most ferocious at the same time. It should produce the best product.

So if that happens, then, you know, this is sort of the crazy talk time, right?

I think it's an Ethereum-like phenomenon, so that means it's worth half a trillion to a trillion dollars in value in five years. If this thing really gets going, then it may surpass Bitcoin and become a primary store of value, especially if Bitcoin gets quantum hacked or something happens to it. Then Bittensor becomes the primary coin. You know, then we're looking